IMA FAST TRACK
6 MONTHS A/L
ENGLISH MEDIUM

Economics

State Economy

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GCE ADVANCED LEVEL ENGLISH MEDIUM

Market failure

Inability of market mechanism to distribute scarce resources toward society's well being is called market failure

reasons affect for market failure

1. Inefficiency of resource allocation

2. Macroeconomic instability

3. In equal distribution of income

1. Inefficiency of resource allocation

Act beyond the condition of price equals marginal cost(P = MC) or the condition needed for resources allocation is known as inefficiency of resources allocation.

Inefficiency of resource allocation occurs due to non-distribution of scare resources of a society in a favourable manner towards the society and following reasons affect for that.

- Non provision of public goods
- Non optimal consumption of quasi public goods (semi public goods).
- Non provision of welfare goods optimally
- Provision of demerit goods
- Over utilization of common resources
- Negligence of externalities

Externalities are the non compensation benefits or losses borne by an external party that is not participating in an economic activity

- Imperfect competition and monopoly situations
- Imperfect information

Difficulty to obtain full and correct information through the market which are needed for consumers and producers to make decisions is identified as imperfect information.

- Perfect information will not be received through the market due to following factors.

- Destroying of true information due to advertising.
- Difficulty in providing some information related to complicated technology
- Existence of uncertainties relating to some benefits

Depending on above factors, some few goods can be identified.

1. Non excludability – Inability to prevent consumption from the people who do not pay for the considering good
2. Ability to prevent consumption from the people who do not pay for the considering good (Excludable)
3. Non rivalry – Absence of competition in consumption
4. Existence of competition in consumption (Rival)

	Rival	Non Rival
Excludability		
Non-Excludability		

Public goods

The goods which are collectively consumed are called public goods.

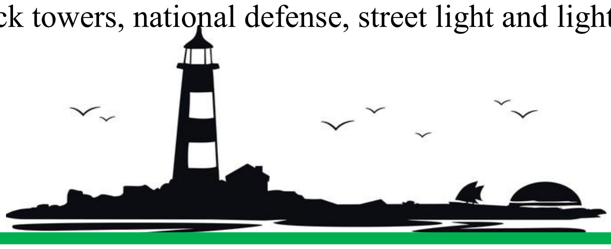
✪ Main characteristics of a public goods.

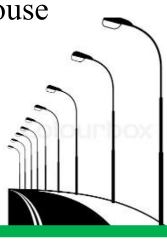
1. Non excludability – Inability to prevent consumption from the people who do not pay for the considering good
2. Non rivalry – Absence of competition in consumption

When supplying a pubic good as everyone can consume the goods whether pay for it or not and as the consumer behave according to their self-interest they would not be willing to pay for a public good.

Also in a market economy which target profits <u>no one allocates resources to produce such a public good</u>.

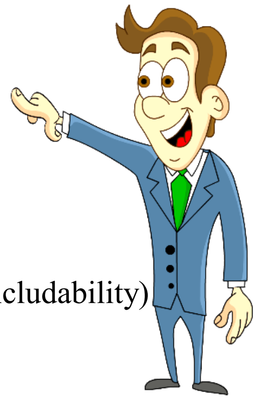
EX- clock towers, national defense, street light and light house





Global Public Goods????

Except traditional public goods there are some other public goods which lie beyond geographical boundaries of a country. These are identified as global public goods.



✪ Main characteristics of a global public good.

1. Non competition in consumption (non rivalry)
2. Non possibility of limiting consumption for the people who do not pay (non excludability)
3. Benefits of such goods can be gained by anyone who lives in the world.

EX- knowledge, financial stability, world peace and atmosphere are some examples for global public goods.

Quasi public goods.

Goods in which competition cannot be seen until it reaches its full capacity and the goods in which consumption can be limited are called quasi public goods.

✪ Main Characteristics of a quasi public goods.

1. Absence of competition in consumption until it reaches its capacity (Non rival)
2. Possibility to consumption (Excludable)

EX- highways, a cast and museums (Non rival)

When supplying quasi-public goods. market charges a price for it. Also as consumption of an additional consumer does not considerably affect over marginal cost till it reaches its maximum capacity and due to the price charged the relevant good or service can be utilized inefficiently. Therefore, this good or service has to be consumed less than the social optimum level.

common goods

The goods in which consumption cannot be limited and the goods there is competition in consumption are called common goods.

✪ Main characteristics can be seen with related to a common resource.

1. Non limitation of consumption (non excludable)
2. Existence of competition in consumption (Rival)

Example : Fisheries, grasslands, atmosphere

2. Macroeconomic instability

Macroeconomic instability refers to time to time fluctuations occur in an economy.

• At many occasions short term instabilities of economies occur due to fluctuations in aggregate demand which arises with changes in private investment demand.

• Economic instability is shown with an economy's inflation rate and unemployment rate

3. In equal distribution of income

Inequity in income distribution refers to non distribution of aggregate income or resources among total population in a way which provide sufficient level of income for each person to live.

Personal income level of a market economy depends upon the factors such as amount of labour forgone, level of education, property owned, price of factors of production, entrepreneurial skills and by luck.

✪ Role of government within a market economy can be shown as follows.

☐ Efficient allocation of resources

steps are being implemented by the government to eliminate market inefficiencies.

- When providing public goods as price cannot be charged for the good as profit cannot be gained market system does not provide public goods. Due to this reason government intervenes to the market.
- As quasi pubic goods are not sufficiently provided by the market system government intervenes into the market.
- As market does not provide welfare goods sufficiently there will be an under consumption of these goods. Therefore, to provide welfare goods government intervenes to the market.

- A market system over produces demerit goods. Therefore, government has to limit them. Example : Drugs
- As market does not provide welfare goods sufficiently will be an under consumption of these goods. Therefore, to provide welfare goods government intervenes to the market.

☐ Fair distribution of income and wealth

- Redistribute income and wealth
- Improving limits over wealth accumulation
- Reformation of lands

☐ Establishing of macroeconomic stability

☐ Establishing of economic growth and sustainable development

Government failures

When government to correct market failures then it will lead to various forms of inefficiencies and inequalities. This situation is identified as government failures.

✪ <u>Factors affecting for government failure.</u>

- Rigidities in government operation

  one of the unfavorable effects of government intervention is the difficulty to change government policies according to the frequent changes of environment.
- Political self interest

  Resources are being wasted when politicians and state officials act according to their self interest.

  Example : When constructing highways, hospitals and schools focusing on political needs.

- Short term vision of government policies

  When finding solutions for various problems it will consider only short term while disregarding long run. Therefore policies needed for long term social progress will not be implemented.

- Making of policies based on imperfect information.

  Due to this imperfect information government policies will be inefficient.

- Unfavourable effect over incentives

  Steps followed by the government to establish fair distribution of income and wealth affects over incentives and productivity in an unfavorable manner.

- Act to prevent from government intervention

  When people and situations act to prevent from various government rules and regulations it can generate hidden economics.

- Increase of administration cost.

  Government intervention within an economy can be very expensive. When implementing rules and regulations inefficiencies can arise as expected social benefits not being greater.

Externalities

Externalities occur when producing or consuming a good cause an impact on third parties not directly related to the Economic activities.

> Externalities are the non compensated benefits or costs borne by an external party which arises with a particular production or consumption activity that are not considered by the people who are directly involving in that activity

Externalities can either be positive or negative.

Externalities

Positive externality	Negative externality
When consuming or producing a good causes a **benefit** to a third party.	When consuming or producing a good causes a **cost** to a third party.
Example - walking to work reduces congestion.	**Example** - airtravel causes an increase in pollution.

They can also occur from production or consumption.

Externalities

Positive Externalities	Negative Externalities
Favorable effects of externalities are identified are identified as positive externalities.	Unfavorable effects of externalities as negative externalities.

Externalities

- Externalities of production
  - Negative Externalities of production
  - Positive Externalities of production
- Externalities of consumptions
  - Negative Externalities of consumptions
  - Positive Externalities of consumptions

There are four types of externalities which generate on above two sources.

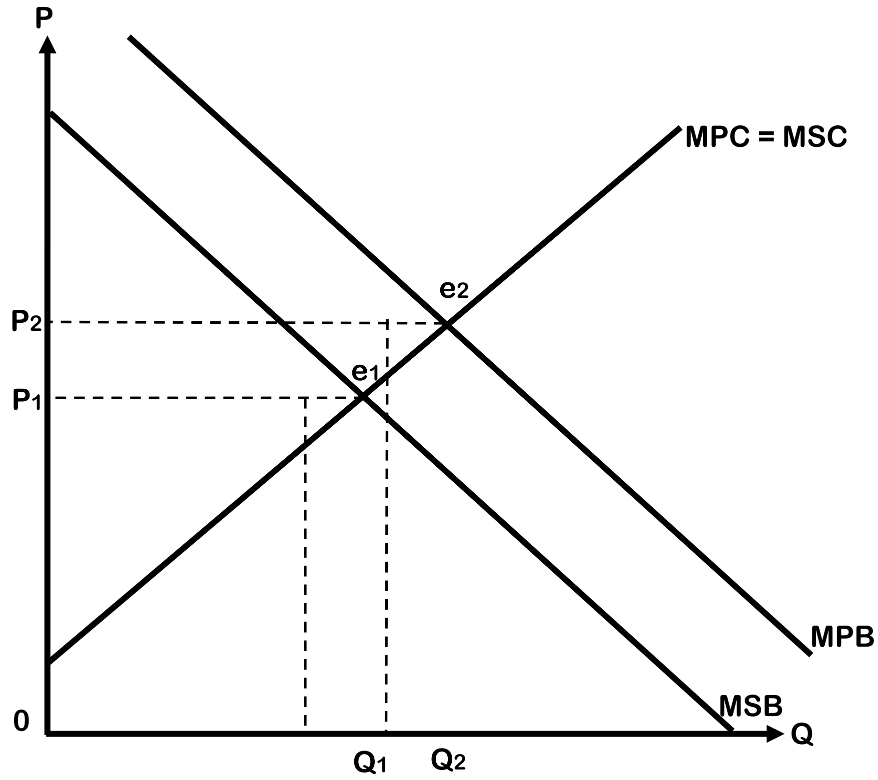
- Negative externalities of production
- Positive externalities of production
- Negative externalities of consumption
- Positive externalities of consumption

- Negative externalities of Consumption

<u>Unfavourable effects or disadvantage</u> cause over an external party who does not directly involves in a particular <u>consumption</u> activity are known as negative externalities of consumption.

Ex-

- **cigarette smoking,**
- **drinking excessive alcohol, which can spoil a night out for others,**
- **Noise pollution.**
- **An individual plays very loud music in their house they are likely to reduce the benefit to their neighbours of owning the house and living in it.**



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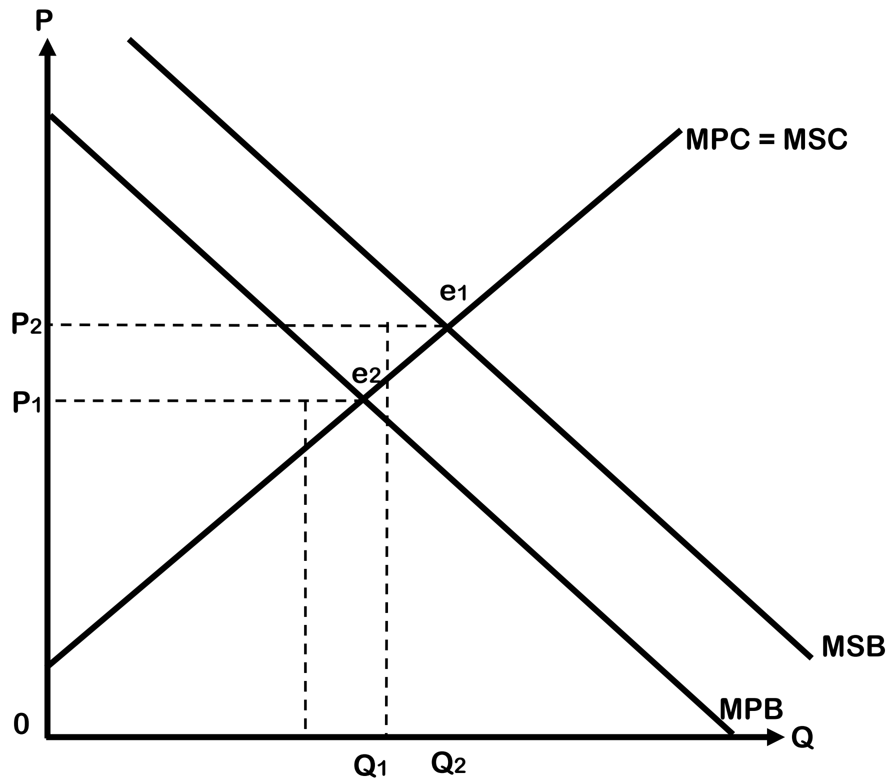
• Positive externalities of consumption

<u>Favourable effects or advantage</u> cause over an external party who does not directly involves in a particular <u>consumption</u> activity are known as positive externalities of consumption.

Ex-

- Good architecture. Choosing a beautiful design for a building will give benefits to everybody in society.
- Buying flowers for front garden gives benefits to others who walk past
- Consuming a healthy diet ultimately will benefit others in society because less health care costs, higher productivity
- Education or learning new skills. With better education, you are more productive and can gain more skills. But, also the rest of society benefits from your new skills.



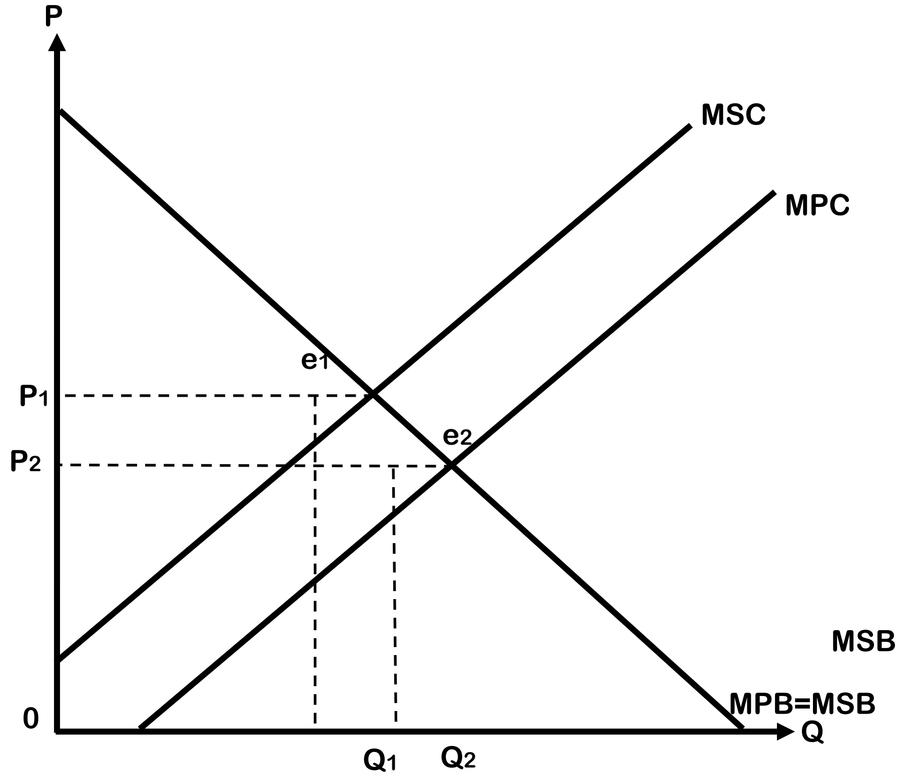
- Negative externalities of Production

Unfavourable effects or disadvantage cause over an external party who does not directly involves in a particular production activity are known as negative externalities of production.

EX-

- Burning coal for energy creates pollution.
- Producing conventional vegetables with pesticides causes carcinogens to get into the environment.

- Producing beef in South America involves cutting down Amazon rainforest, which has an impact on global climate and local environment

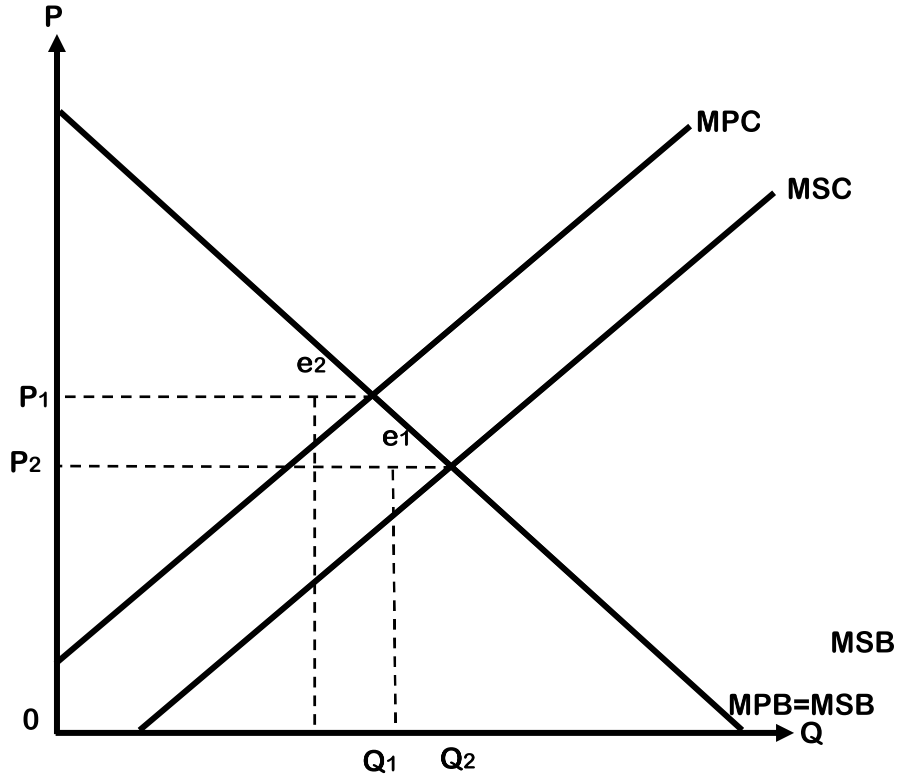


- Positive externalities of Production

<u>Favourable effects or advantage</u> cause over an external party who does not directly involves in a particular <u>production</u> activity are known as positive externalities of production.

EX-

- This occurs when a third party benefits from the production of a good. For example, building a train station may provide shelter for the homeless when it is raining.
- If a company develops new technology, such as a database programme, this new technology can be implemented by other firms who will gain a similar boost to productivity.
- Tim Berners Lee who developed the World Wide Web, made it freely available, creating a very large positive externality.



Steps that can be taken to eliminate market inefficiency caused by the externalities

- Imposing of environmental taxes
- Issuing of license
- Providing of subsides for positive externalities
- Internalization of externalities (imposing direct control policies of the government)
- Personal bargaining
- Deciding of a fine by the government.

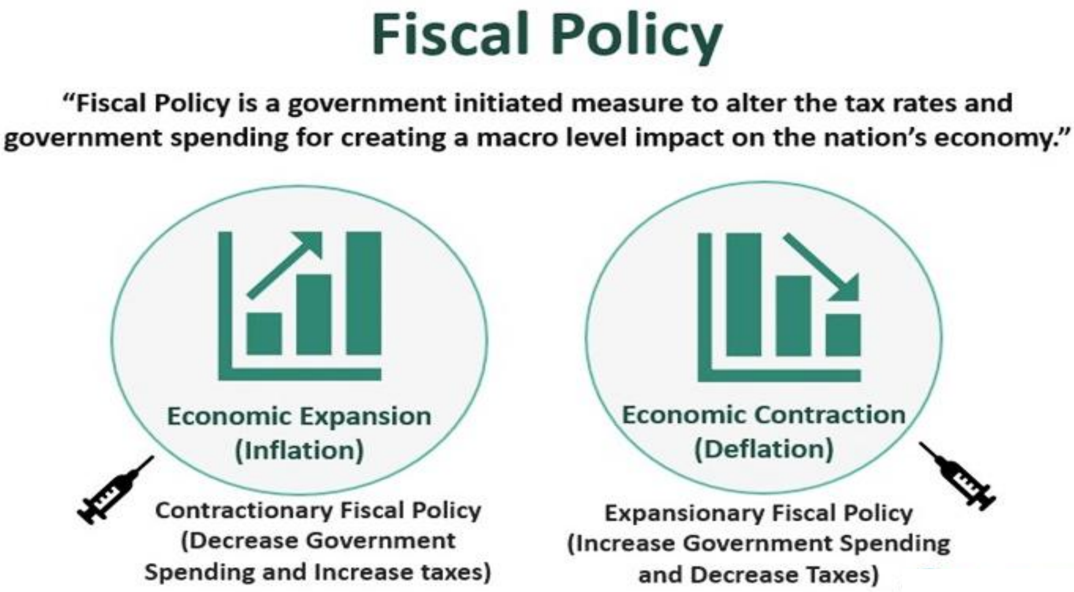
Fiscal policy

Make changes related to government expenditures, revenue and borrowings in order to achieve macroeconomic objectives is known as fiscal policy.

✪ Deference between Fiscal policy and monetary policy

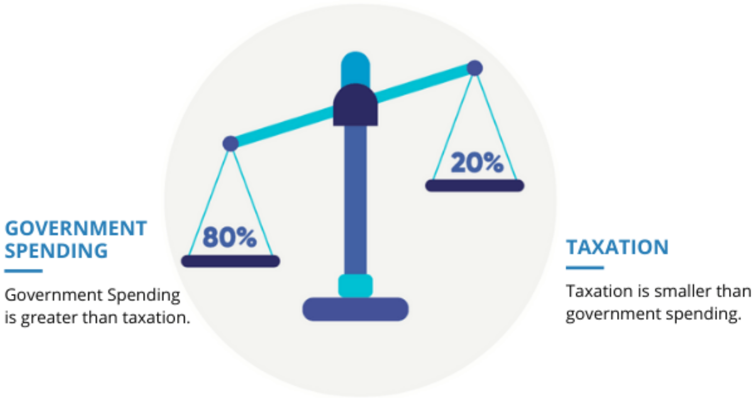
Fiscal Policy	Monetary Policy
Change in government spending and tax rates	Change in interest rates / money supply.
Set by the Government	Set by a Central bank
No specific target	Target inflation
Side effect on government budget / borrowing	Side effect on exchange rate and housing market
Strong political dimension to changing tax rates	Mostly independent from the political process

✪ Fiscal policy can be devided into two parts



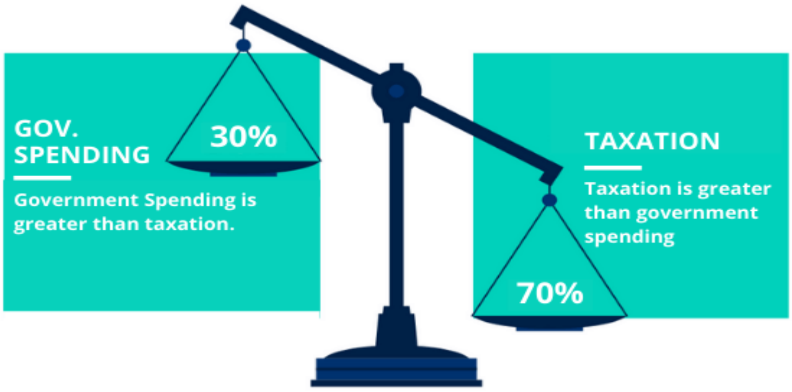
Expansionary fiscal policy

Expansionary fiscal policy is the policy that sets government spending higher than government revenue.



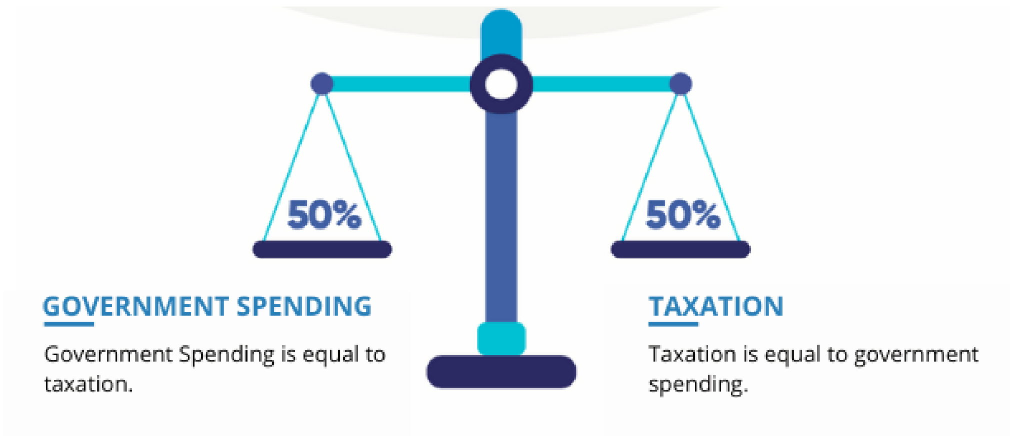
Contractionary fiscal policy

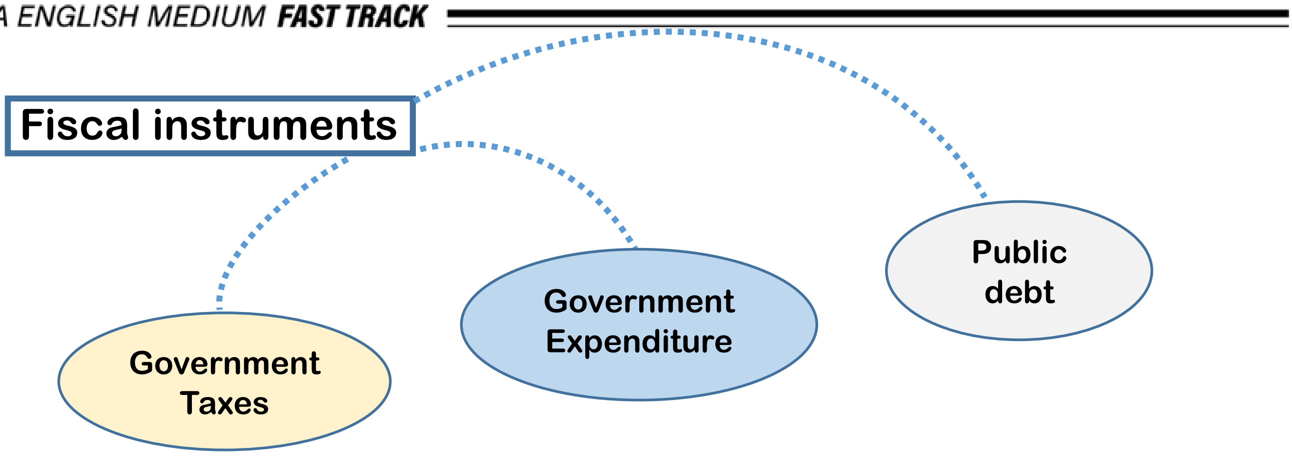
Contractionary fiscal policy is the policy that sets government spending less than government revenue.



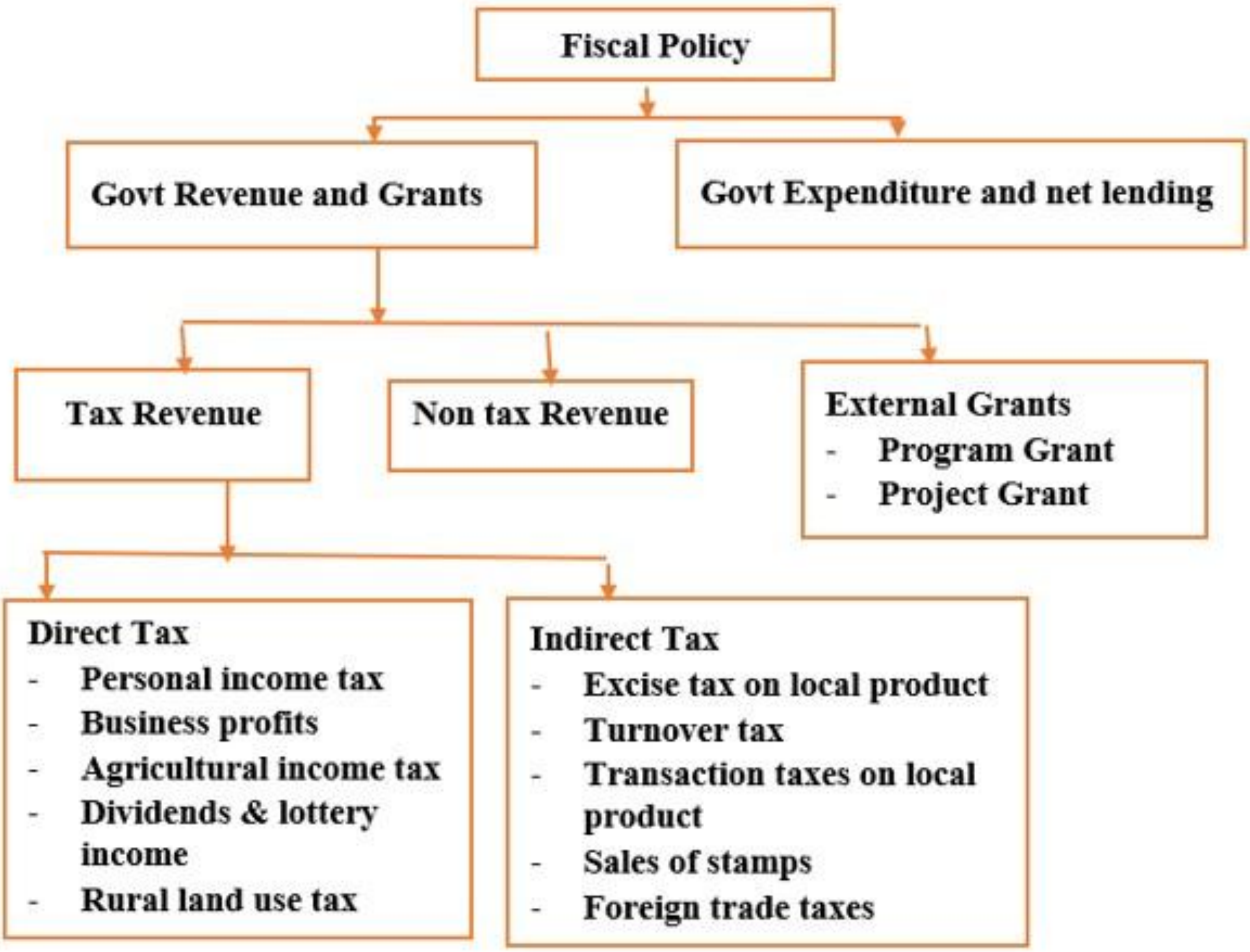
Fiscal neutral policy

Fiscal neutral policy is the policy that sets government spending equel government revenue.





Fiscal policy Activism



Main sources of government revenue

There are main two sources of government revenue.

TAX REVENUE

NON-TAX REVENUE

TAX REVENUE

Taxes are mandatory contributions levied on individuals or corporations by a government entity whether local, regional or national.

✪ Objectives of taxation

- Minimize inequality in distribution of income and wealth
- Management of resources to improve efficiency
- Discouraging of the consumption of demerit goods which borne a high social cost
- Affect over aggregate demand
- Affect over aggregate supply

Principles of taxation.

- Equity
- Economical
- Convenience
- Certainty
- efficiency
- flexibility

Principle of Equity

Equality states that the burden of taxation must be distributed equally or equitably among the taxpayers. However, this sort of equality robs of justice because not all taxpayers have the same ability to pay taxes.

EX-

Rich people are capable of paying more taxes than poor people. Thus, justice demands that a person having greater ability to pay must pay large taxes.

✪ Two conditions should be fulfilled to achieve the tax principle of equity.

- Horizontal equity

  The need to treat equally for the people with similar economic capabilities called horizontal equity. Which means people with similar level of income should borne similar level of tax burden.

- Vertical equity

  The need to treat differently for the people with different economic capabilities is called vertical equity. Which means more tax burden should borne as income increases.

For a fair system of taxation two main principles are stated within economic theory.

They are as follows.

1. Principle of benefit

   Principle of benefit refers to that the taxes should be paid to the government according to the amount of services receive by the government.

2. Principle of ability to pay

   Principle of ability to pay refers to that the taxes should be charged according to a person's ability to pay taxes.

Principle of Economical

The principle of economical means that the expenditure borne by the person in paying taxes and the cost to the government in collecting taxes should be minimized. These expenditure are classified into two types as administration and compliance.

Administration cost : Expenditure borne by government when collecting taxes

Compliance cost : Cost borne by tax payers

The intention of this is that the revenue gain from taxes should exceed the value of expenditure made to collect taxes. If not it will be unable to earn revenue to the government.

Principle of convenience

That is the tax system should be simple. Simplicity of a tax is shown by whether the tax prayers pay taxes properly or not or by whether many people try to avoid paying taxes or not.

Principle of certainty

Means that the tax system should not change frequently and suddenly. It refers to the idea that the tax payers should have the ability to predict their tax burden they should borne at future. Also the taxes that should pay at future should be certain for investment purposes.

Principle of efficiency

Refers to the tax system taxes should be charged in a way it should not affect over resource allocation process. This principle also states that surplus amount of taxes should not be charged and distortions should be minimized.

Principle of flexibility

Principle of flexibility refers to the idea of possibility to adjust taxes according to the timely changes occur within economic process.

Two types of taxes based on the possibility to shift the tax burden

Direct taxes

Direct taxes are the taxes paid by a person or paid by a institution who should be liable to pay the tax and who should borne the tax burden without passing to another.

Example : income taxes, Property taxes

- If there is any possibility to shift the tax burden then it is called an indirect tax. In this situation there is a clear difference exist between the legal tax payer and the actual tax payer.

Indirect taxes

If there is any possibility to shift the tax burden then it is called an indirect tax.

* In this situation there is a clear difference exist between the legal tax payer and the actual tax payer.

Example : Sales tax , Custom duty, VAT

✪ Tax source ✪

The source that subjected to the tax is known as tax source.

* Taxes are classified based on tax source.

1. Income tax → INCOME
2. Consumption tax → CONSUMPTION
3. Wealth tax → WEALTH
4. Import and export tariffs → IMPORT/EXPORT

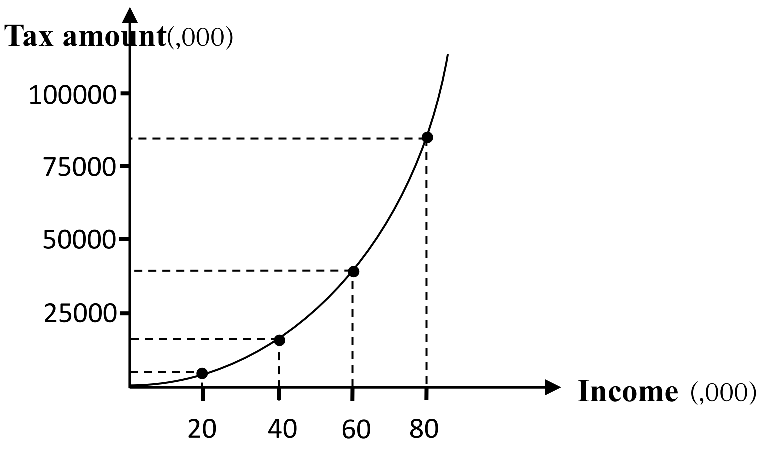
Three types Tax depending on the rate of tax charged

1. Progressive tax

Charging of a tax at an increasing rate with the increasing of a tax base is identified as a progressive tax system.

Example- Income tax

Income	Average Rate of Tax	Tax amount
RS 200000	2%	RS 4000
RS 400000	4%	RS 16000
RS 600000	7%	RS 42000
RS 800000	10%	RS 80000



* As tax base increases both marginal rate of tax and average rate of tax increases.

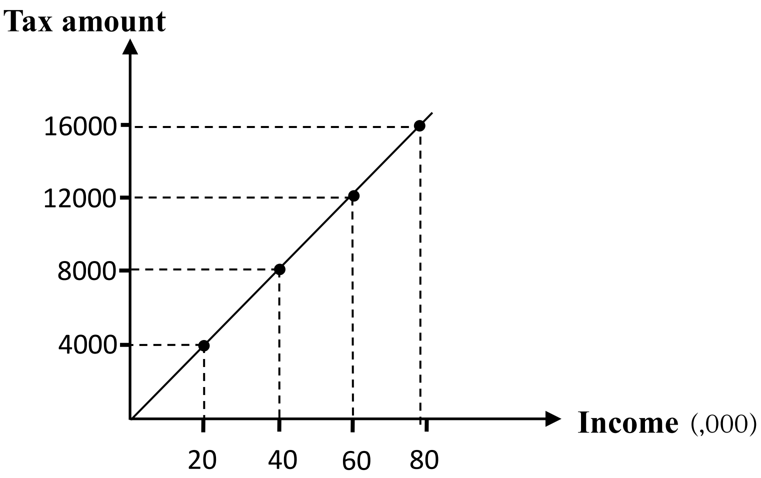
2. Proportional tax

If marginal tax rate is not changed with a change in tax base then it is called a proportional tax.

Example : Imposing of 20% tax rate for each and every person.

As same level of tax is charged at any level of income, marginal rate of tax will be equal to average rate of tax.

Income	Average Rate of Tax	Tax amount
RS 200000	2%	RS 4000
RS 400000	2%	RS 8000
RS 600000	2%	RS 12000
RS 800000	2%	RS 16000



3. Regressive tax

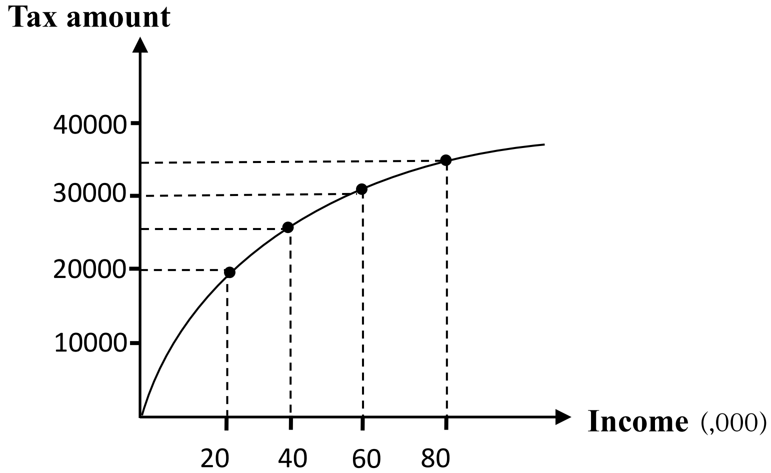
If tax rate decreases with increase in tax base it is known as regressive tax.

- As the value of tax base increases, both marginal rate of tax and average rate of tax decreases with regressive tax system.

- As tax base increase marginal rate of tax lies above average rate of tax.

Example : Sales tax

Income	Average Rate of Tax	Tax amount
RS 200000	10%	RS 20000
RS 400000	6%	RS 24000
RS 600000	5%	RS 30000
RS 800000	4%	RS 32000



Economic effects of Tax

1. Effect over investments :

When taxes are charged from the investors by the government, investments can be discouraged due to increase in cost of investors with an apparent decrease in profits. However, investments are encouraged with tax concessions and tax reliefs. Also by imposing and increasing of import tariffs domestic investors are encouraged.

2. Effect over production :

When a tax is imposed over producers their profit will decrease due to increase in cost of production.

3. Effect over consumption

Tax system of a country affects over consumption in various ways. When government impose taxes over goods, price of goods increase and the consumption level is decreased.

When income taxes are imposed it will affect disposable income and as a result. Consumption is decreased.

4. Effect over price level

When government impose taxes over goods as prices of goods increase price level of the country is increased. In this way due to increase in price level and increase of cost of living of the country inflation occurs

5. Effect over international trade :

Impose of tariffs directly affects over international trade. Imports and exports are discouraged with increase of tariff rates and imports and exports are encouaged with decrease of tariff rates.

6. Effect over income distribution

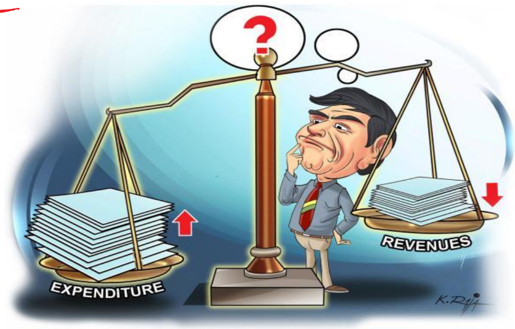
By imposing taxes over rich people and providing tem in the form of subsides to poor, inequality of income distribution of a country is minimized. In this regard imposing a low tax over essentials and imposing a high tax rate over luxury goods will minimize in equality in income distribution of a country.

7. Effect over savings

When imposing taxes over goods disposible income decrease with increase in cost of living. As a result savings are discouraged.

Government expenditures

Expenditure made by government to achieve economic objectives is called government expenditures



<u>Following factors affect government expenditures</u>

- Make utilization of scare resources efficient
- Minimize in inequal distribution of income
- Protection of law and peace
- Running institutions that provide public services which are not provided by the private sector
- Economic growth and development

Government expenditures

1. Recurrent expenditure(e

2. Capital investment expenditures

3. Net lending

1. Recurrent expenditure	2. Capital investment expenditures	3. Net lending
Recurrent expenditures are the expenditures that should made again and again. Expenditures such as transfer payments and the day to day expenditures at a particular year are included in current expenditures. It is an expenditure that provides benefits to the economy during the time of spending. Example : wages of employees Food subsidies Pensions Transportation cost	Capital expenditures are the expenditures made to purchase goods that exist normally more than a year and the expenditures made to generate capital resources and the expenditures of reformation of capital. Example : purchasing of machinery Construction of buildings Purchasing of vehicles Construction of highways	Expenditures of government which are not included in current and capital expenditures is called net lending . Net lending provided by advance accounts, receipts of loans and lending s to over government entrepreneurs are included in net lending

Identifying various expenditure components within each type of expenditure, current and capital expenditures are classified based on two main classifications.

1. Economic classification
2. Functional classification

Expenditure on goods and services

- Expenditure on goods and services under current expenditures means the expenditures made to provide and maintain various public services for the public. Benefits of these expenditures are limited for a year.

Examples : National defense,

school education,

hospital health services,

Transportation services

Interest payments

- Interest payments are the expenditures made to pay interest for both domestic and foreign borrowings. As an individual component it has the largest value of government expenditures.

When interest rate increases public savings decreases and economic growth will be limited due to apparent decrease in investments.

one side

considering interest payment as a transfer it is not included to national accounts.

Current transfers

- Current transfers and subsidies are the subsidies provided by the government to various government institutions and to the household sector.

- Subsides provided over government institutions are the funds provided to maintain loss making government entrepreneurs.

Example : Subsides provided to Sri Lanka Ports Authority,

National Water supply and Drainage Board,

Sri Lanka Electricity Board and Sri Lanka Petroleum Corporation.

Examples for the subsides provided to house hold sector.

- Samurdhi
- Pension (largest value of government subsidies)
- Food stamps
- Food subsidy
- School text books, uniforms, lunch, bus season
- Fertilizer subsidy

Increases in current transfers limit the potential to allocated resources for other dominant sectors of the economy. Also it will decrease public savings and limit investments with broadening budget deficit.

Acquisition of real capital

Expenditure of acquisition of real capital under investment expenditures refers to the amount of money invested by the central government directly for capital formation.

Example : allocation of money by the government to construct expressways.

Capital transfers

Money provided to various government institutions, corporations and provincial councils for capital formation which is not regained by the government is called capital transfers.

Example : Providing money by the government for provincial councils to construct school buildings.

Under expenditures

Inclusion of capital balances to expenditure estimates when expecting estimated capital expenditures for a given year has no potential to spent totally it is then called under expenditures.

Through under expenditures the value of capital expenditure is shown as a lower value and it is also used as a strategy of showing the value of budget deficit lower at the situations where expected expenditure are extremely difficult to cover by government revenue

Summary of Government Expenditure

Recurrent Expenditure

Item	2019 (a)	2020 (b)
Rs. million		
Recurrent Expenditure	**2,424,582**	**2,548,359**
Expenditure on Goods and Services	848,278	974,351
o/w Salaries and Wages	686,452	794,158
Interest Payments	901,353	980,302
Foreign	233,970	266,679
Domestic	667,383	713,623
Current Transfers and Subsidies	551,524	717,133
o/w To Households and Other Sectors	456,241	610,486
Samurdhi	44,660	52,434
Pensions	227,670	257,833
Fertiliser Subsidy	34,966	36,687
Other	148,945	263,532
Adjustment for arrears as per the Ministry of Finance	123,428	-123,428
Capital Expenditure	**619,069**	**795,368**
Acquisition of Real Assets	385,366	483,543
Capital Transfers	239,688	307,917
Other	-5,985	3,907
Net Lending	**-4,933**	**-3,552**
Adjustment for arrears as per the Ministry of Finance	299,178	-299,178
Capital Expenditure and Net Lending	**913,314**	**492,638**
Total Expenditure and Net Lending	**3,337,896**	**3,040,996**

Capital

Net lending

Government budget.

The document which includes all the expected expenditures of government for the next financial year and the one which includes the ways of collecting revenue to meet these expenditures and which is then presented to the parliament and approved by them is called the government budget.

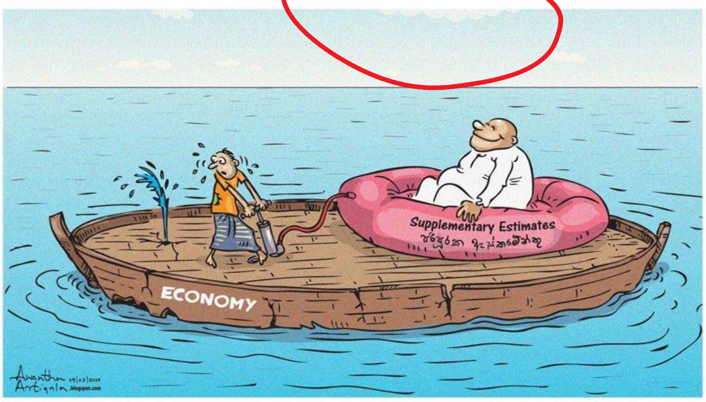
It can be stated as an important document which includes government's future financial plans and future vision.

An appropriate act

An appropriate act is the act which mentioned the expected expenditures of government for the next financial year separately under departments and ministries and also which includes revenue to meet these expenditures. In addition to that it shows how the gap between revenue and expenditure is fulfilled.

supplementary estimate

If a particular ministry need some more money after approval of the appropriation act, the estimate presented to the parliament by the relevant minister for their approval is called supplementary estimate.



vote on account

- Due to an unexpected situation (war, election) if it is difficult to present appropriate act to the parliament and to get the approval from the parliament at the right time till it approves the temporary schedule presented to the parliament to pay the expenditures of each ministry for the next financial year from the government's consolidated fund is called vote on account.

In a government budget the balance is also obtained by adjusting government revenue to government expenditures. Based on the balance of budget three budgetary concepts are identified.

1. deficit budget budget	2. Surplus budget	3. Balanced
If government expenditures are greater than government revenue it is a deficit budget.	If government expenditures are lower than government revenue it is a surplus budget	If government expenditures are equals to government revenue it is a balanced budget
______________ ______________ ______________	______________ ______________ ______________	______________ ______________ ______________

Government budget schedule

Item	Rs. in million
Total revenue and grants	170 000
Total revenue	165 000
Tax revenue	150 000
Non tax revenue	15 000
Grants	5 000
Expenditure and lending minus repayments	200 000
Recurrent	175 000
Capital and net lending	25 000
Public investment	20 000
Current account surplus / deficit	100 000
Primary account surplus / deficit	9 000
Overall fiscal surplus / deficit	30 000

- Balance of current account = Total revenue - Recurrent expenditure

= 165000 - 175000 = -10000

- Overall balance = Total revenue - Total expenditures

and grants = 170000 - 200000

= -30000

- Balance of primary account =Overall balance - Interest payments

= -~~30000~~ = (

- Net cash deficit = Overall balance - Amortization payments

Two types of budgetary policies

1. Expansionary budgetary policy

2. Contractionary budgetary policy

- If there is an inflationary situation occur due to an increase in money supply which results with government debt obtained to fulfill budget deficit. It is called an expansionary budgetary policy.

Example :

1. Government borrow money from central bank

2. Government borrow money from commercial banks

When finance budget deficit by borrowing money form central bank and commercial banks money supply of the country expands.

- Due to this reason aggregate expenditures exceed aggregate revenue and an inflationary situation occurs.

- If money supply does not increase by the government debt that obtain to fulfill budget deficit it is considered as constractionay budgetary policy.

Examples :

- Borrowing money from National Savings Bank

- Borrowing money from Employee Provident Fund

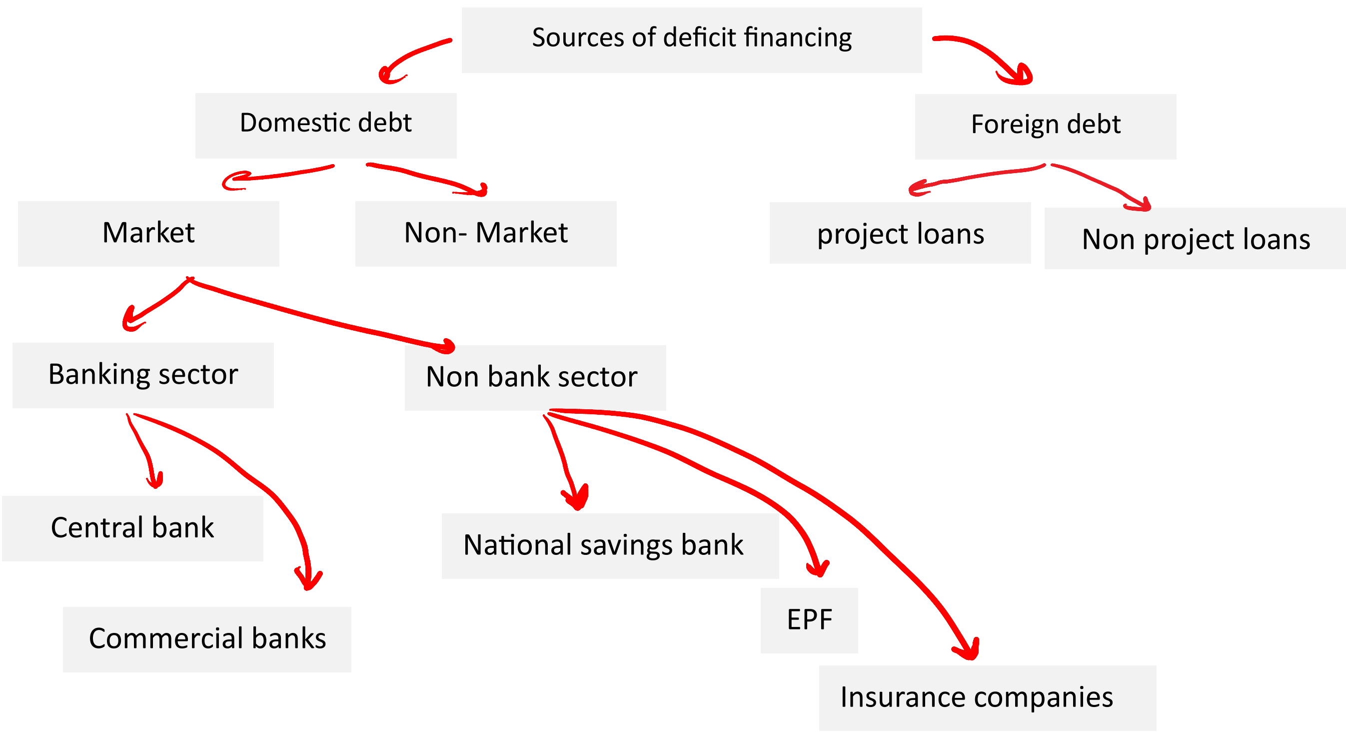
- Borrowing money from the public

- Borrowing money from above mentioned sources will not increase the money supply of the country.

Therefore, it will not create any inflationary situation

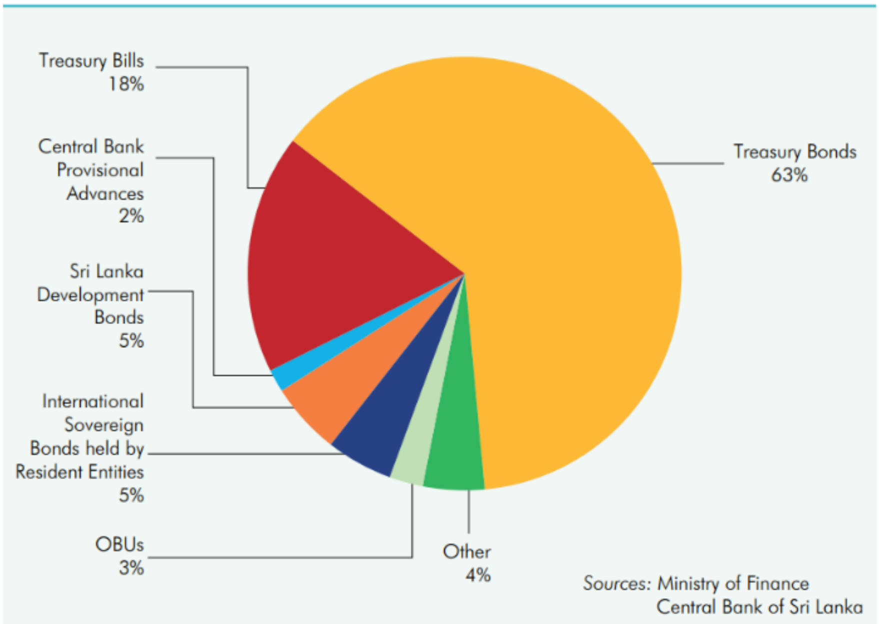
Government debt.

There are situations where expected expenditures of the government for the next financial year exceeds expected government revenue. When government expenditures exceed government revenue the main source used by the government to finance budget deficit is the public borrowings.



Domestic debt

Composition of Outstanding Central Government Domestic Debt - 2020



Foreign debt